EARNINGS REVIEW · BERKSHIRE HATHAWAY

Berkshire's Favourite Stock Is Berkshire: A Record Buyback, a Bigger Cash Pile and a Weaker GEICO

Greg Abel's Berkshire spent a record $9.6 billion buying back its own shares in the third quarter, about $2 billion more in October, and was a small net seller of other stocks. Operating earnings fell 5.8% as insurance underwriting dropped 43%, while the railroad, utilities and manufacturing businesses grew. The cash pile rose again to $377.4 billion. This review compares the results with our preview, explains the numbers and what they say about Abel's Berkshire.

Global Markets Research · Equity Research Desk Prepared by ANDRA MARKETS

~5.8%

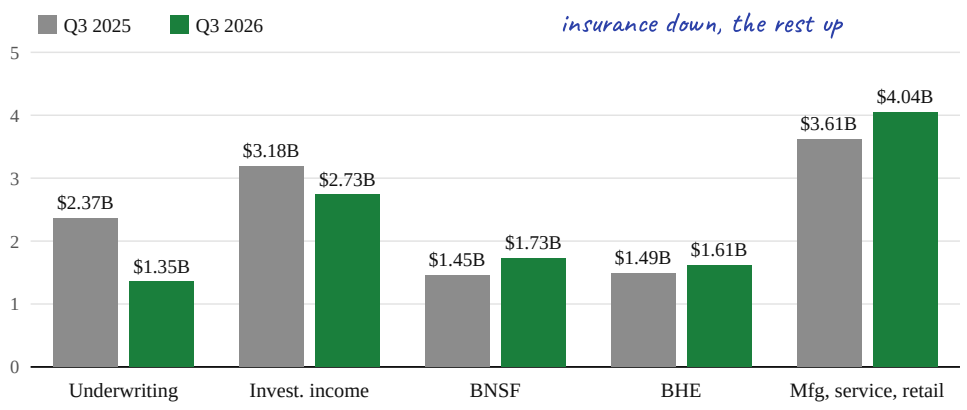
Coverage summary. Berkshire reported third-quarter operating earnings of $12.71B, down 5.8% from $13.49 billion a year earlier, or $8,907 per Class A share against a FactSet consensus of $8,822. Net earnings fell 28% to $22.1 billion as investment gains roughly halved. The weakness was in insurance: underwriting profit fell 43% to $1.35 billion, with GEICO's pre-tax underwriting profit down 45% to $982 million as claims costs and advertising rose, and insurance investment income fell 14% to $2.73 billion as short-term rates declined. BNSF earned $1.73 billion, up 19%, Berkshire Hathaway Energy $1.61 billion, up 8%, and manufacturing, service and retail $4.04 billion, up 12%. The headline: Berkshire bought back a record $9.6 billion of its own stock, more than double the second quarter, and roughly $2 billion more in the first four weeks of October, while selling slightly more of other companies' shares than it bought. Cash rose to $377.4 billion from $365.5 billion in June.

buys itself, not others

Abel's signature

BUYBACKS, Q3	OPERATING EARNINGS	INSURANCE UNDERWRITING	CASH
$9.6B	**$12.71B**	**−43%**	**$377.4B**
record; ~$2B more in Oct	*−5.8% y/y; small beat*	*GEICO −45% pre-tax*	*from $365.5B in June*

EXHIBIT 1. OPERATING EARNINGS BY SEGMENT, AFTER TAX ($ BILLION)



the split quarter

Sources: Berkshire Hathaway Q3 2026 release (insurance, BNSF, BHE); BigGo Finance (manufacturing, service and retail $4.04B, +11.8%; Q3 2025 derived).

1.0 Executive Summary

Seven takeaways

1. Berkshire bought Berkshire. Repurchases rose from $234 million in the first quarter and $4.5 billion in the second to $9.6 billion in the third, the largest quarter in the company's history, bringing the year's total to about $14.4 billion, plus about $2 billion in October.

2. But not other stocks. After a second quarter as a net buyer of equities, Berkshire was again a small net seller, by about $0.4 billion. Abel's capital is going into Berkshire itself and into whole businesses such as Taylor Morrison, not into the stock market.

3. The cash pile grew anyway. Despite $16.4 billion spent on buybacks and Taylor Morrison, cash and Treasury bills rose to $377.4 billion on the company's headline measure, because operating cash flow, maturities and stock sales replenished it.

4. Insurance is the problem. GEICO's underwriting profit fell 45% as accident losses and advertising rose; the primary group fell 76% and reinsurance 34%. CFRA's Cathy Seifert said GEICO is caught between falling premiums and rising claim costs, and that rivals such as Progressive are handling it better.

5. Abel's businesses are doing well. BNSF grew 19% on fuel surcharges and higher volumes, BHE 8% and the manufacturing, service and retail group about 12%. These are the operations Abel ran for years before becoming CEO.

6. Lower rates cost Berkshire. Insurance investment income fell 14%, largely because of lower short-term interest rates on the cash pile and float, a reminder that a $377 billion balance is very sensitive to the Fed.

7. Our reading. The quarter shows a Berkshire that is more willing to act, but on its own terms: buy its shares when it thinks they are cheap, buy whole companies, avoid the market. AP notes the buybacks likely slowed as the Class A shares passed $878,000. The question for 2027 is whether insurance recovers.

2.0 Our Preview vs the Result

What we expected, what happened

In Andra Markets 2026-93 we set out three scenarios. The result fits none of them cleanly. On buybacks it was the most active outcome we described, with large repurchases in August and September and more in October. On the cash pile and equity trading it looked like our 'back to hoarding' case: cash rebuilt towards $380 billion and Berkshire returned to net selling. The combination is consistent: Abel preferred buying Berkshire's own stock, which he has said trades below intrinsic value, to buying other listed companies at record prices. Operating earnings came in slightly above the FactSet consensus per share but below Morningstar's expectation of mid-to-high single-digit growth, because insurance was weaker than expected.

Exhibit A. Preview vs actual

Item	What we watched for (2026-93)	Actual Q3 2026
Cash and Treasury bills	base case just under $365B; low $350Bs if active	$377.4B headline (StockTitan: $352.3B cash and T-bills)
Buybacks	continued in Aug-Sep?	yes: $9.6B in Q3, ~$2B in Oct
Net equity trading	second quarter of net buying?	no: net seller ~$0.4B
Operating earnings	consensus ~−5.6% per share	−5.8% total; $8,907 per A share vs $8,822 est.
Insurance	softening underwriting	−43%; GEICO −45%
Railroad, energy, manufacturing	offsetting insurance	yes: +19%, +8%, +12%

Sources: Andra Markets 2026-93; Berkshire Q3 2026 release; CNBC; AP; StockTitan; BigGo Finance. Cash figures differ by definition across sources.

3.0 Capital Allocation

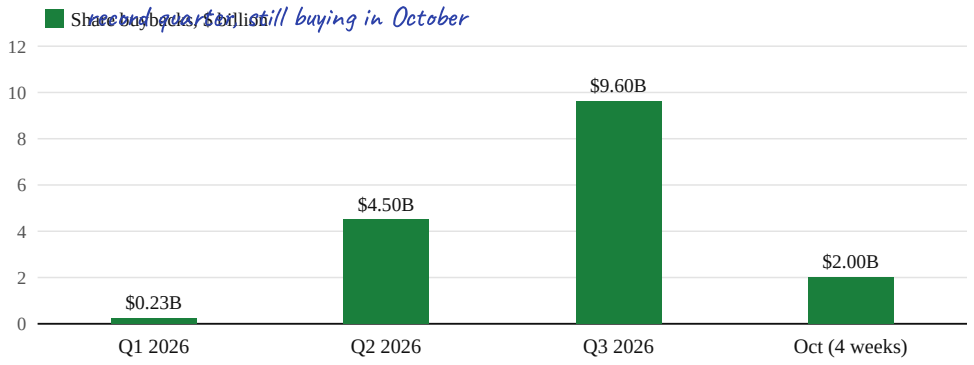
Record buybacks, small net selling

~$234M

Abel restarted buybacks in the first quarter after a 21-month pause, but they were small, $234 million. They rose to $4.5 billion in the second quarter and $9.6B in the third, the most Berkshire has ever spent on its own shares in a quarter, and Reuters reports about $2 billion more in the first four weeks of October. That is roughly $16 billion of repurchases in ten months. Berkshire only buys back stock when its chairman and chief executive judge the price to be below intrinsic value, so the pace is a signal: the board considered the shares cheap through September even as they rallied. AP notes that the Class A shares have since passed $878,000, above their level before Buffett announced his retirement in May 2025, and that buying probably slowed. On the other side, Berkshire was a net seller of other stocks by about $0.4 billion, after buying almost $20 billion net in the second quarter, including its $10 billion Alphabet placement.

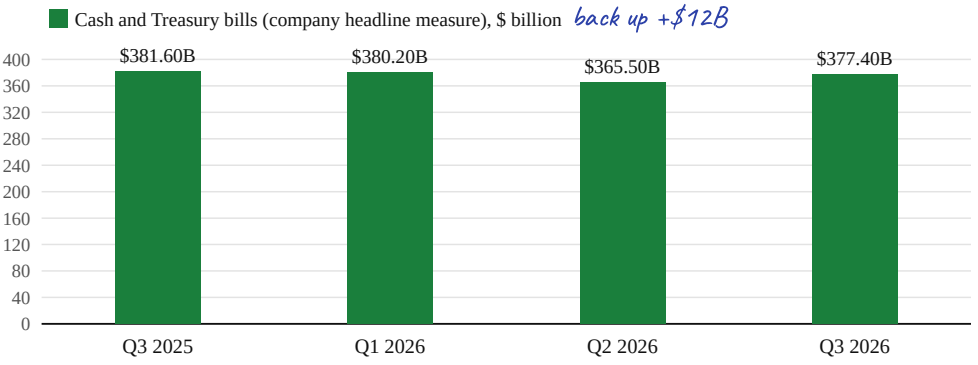
x2 in a quarter

Exhibit 2. Berkshire share buybacks ($ billion)



Sources: BigGo Finance (Q1 $234M); CNBC (Q2 $4.5B, Q3 $9.6B); Reuters via GV Wire (about $2B in the first four weeks of October).

Exhibit 3. Cash and Treasury bills, company headline measure ($ billion)



+$12B

Sources: CNBC and AP (Q2 $365.5B, Q3 $377.4B); FX Leaders (Q3 2025 $381.6B); Motley Fool (Q1 2026 $380.2B). StockTitan reports a narrower cash and T-bill figure of $352.3B.

~$377B

A note on the cash figure. CNBC and AP report $377.4 billion, up from $365.5 billion, while StockTitan, using cash and Treasury bills only, reports $352.3 billion and a decline after the $16.4 billion spent on Taylor Morrison and buybacks; 24/7 Wall St. cites about $357 billion of cash and short-term securities. The difference is definitional, depending on which short-term investments and which subsidiaries are included. On every measure, Berkshire still holds roughly a third of a trillion dollars.

definitions differ

4.0 Insurance: Where the Quarter Went Wrong

GEICO, primary and reinsurance

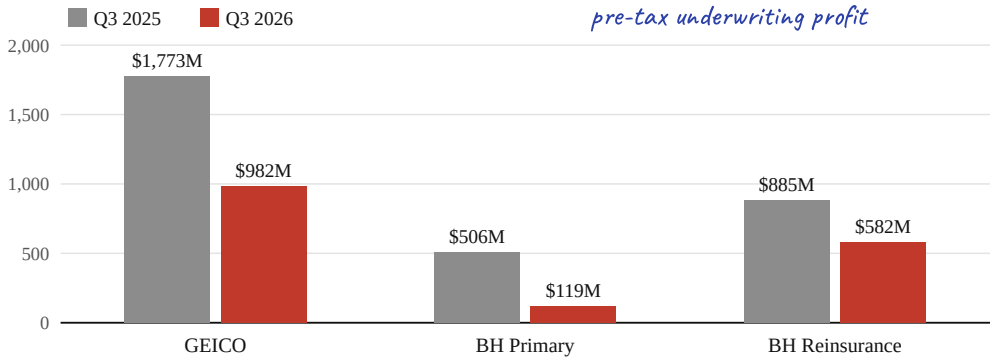
GEICO -45%

Insurance underwriting profit fell 43% to $1.35 billion after tax, from $2.37 billion, which had been flattered by an unusually good year. GEICO's pre-tax underwriting profit fell 45% to $982 million from $1.77 billion as accident losses rose and the company spent more on advertising; the Berkshire Hathaway Primary group fell 76% to $119 million and the reinsurance group 34% to $582 million. The pressure is industry-wide: car insurance premiums are falling after two years of increases while claim

~43%

costs keep rising, and Progressive and Travelers also reported cheaper auto insurance in October. Insurance investment income fell 14% to $2.73 billion, which Bloomberg attributes largely to lower short-term interest rates. Insurance is still Berkshire's engine, and it is cooling.

Exhibit 4. Pre-tax underwriting profit by insurance unit ($ million)



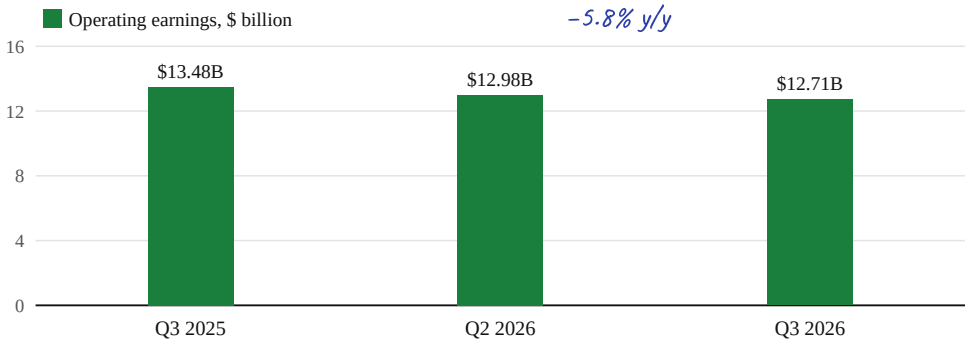
Sources: Berkshire Q3 2026 10-Q via BigGo Finance and StockTitan; BHRG Q3 2025 derived from the reported 34.2% decline.

5.0 The Businesses Abel Built

Railroad, utilities, manufacturing

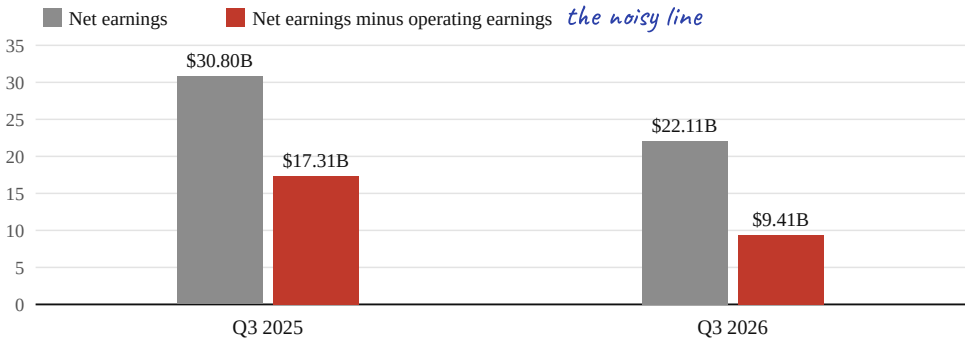
Outside insurance, the quarter was good. BNSF's after-tax earnings rose 19% to $1.73 billion, helped by fuel surcharges and higher volumes of consumer, agricultural and energy shipments; its revenue rose to $6.8 billion. Berkshire Hathaway Energy earned $1.61 billion, up 8%, on favourable demand and operating leverage in a seasonally strong quarter; demand for power from data centres is a tailwind, as Andra Markets 2026-91 discussed. Manufacturing, service and retail earned $4.04 billion, up about 12%, although consumer products were mixed as some shoppers resisted price increases. CFRA's Seifert summarised the quarter as the businesses that play to Abel's strengths doing well, with the question being the rest of the franchise.

Exhibit 5. Operating earnings ($ billion)



Sources: Berkshire Q3 2026 release; CNBC; 24/7 Wall St. (Q2 2026 $12.98B).

Exhibit 6. Net earnings and investment gains ($ billion)



Sources: Berkshire Q3 2026 release; CNBC. The gap between net and operating earnings mainly reflects investment gains ($9.407B in Q3 2026). Berkshire advises investors to focus on operating earnings.

6.0 What It Means

Abel's Berkshire after three quarters

the pattern

Three quarters into Abel's tenure, and with Buffett having also given up the chairman title in September according to AP, a pattern is visible. First, buybacks as the default use of capital when the shares look cheap, at a scale Buffett rarely used. Second, whole-company acquisitions, such as Taylor Morrison, rather than minority stakes in listed companies; the Alphabet placement looks like an exception. Third, continued caution on the stock market, with Berkshire a net seller in three of the last four quarters we track. Fourth, a portfolio that is becoming more dependent on rail, utilities and industrial businesses as insurance profits normalise. For shareholders, the buybacks are the most tangible change: they reduce the share count and lift per-share earnings even when total earnings fall.

Exhibit B. What to watch next

Item	Why it matters	When
13F filing	which stocks were sold; Alphabet and Apple positions	mid-November
Buyback pace	whether repurchases continue above $878,000 per A share	Q4 report, Feb 2027
GEICO margins	pricing vs claims cycle	each quarter
Abel's annual letter	capital allocation framework	late February 2027
Fed path	yield on the cash pile	9 December

Andra Markets selection.

reading: Abel's favourite investment is Berkshire itself. insurance is cooling; rail, energy and manufacturing are carrying the group

Methodology and Source Notes

Method. This review uses Berkshire Hathaway's Q3 2026 news release and Form 10-Q as reported by CNBC, AP, Reuters, Bloomberg, StockTitan, BigGo Finance, Benzinga and 24/7 Wall St. on 7 November 2026, and compares them with Andra Markets 2026-93. Some figures are derived and labelled; cash figures differ by definition across sources. Not a recommendation on any security. Handwritten notes and highlights are informal commentary by the desk. This note is analysis, not investment advice.

Principal sources. Berkshire Hathaway news release (7 Nov 2026) and Form 10-Q; CNBC; AP (Josh Funk); Reuters via GV Wire and AOL; Bloomberg; StockTitan; BigGo Finance; Benzinga; 24/7 Wall St.; CFRA (Cathy Seifert); Morningstar; FactSet; Andra Markets 2026-91 and 2026-93.

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